



Indicators



Alert



Replay



3.6

DONCHIAN CHANNEL AND PULLBACK

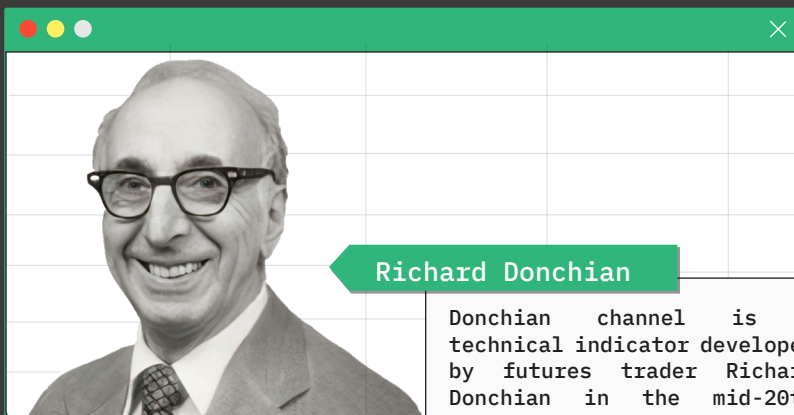


Strategy video

Often momentum traders find it difficult to trade the intraday segment due to high volatility and false signals. One such case is when the market is sideways and momentum traders get trapped at the extreme point. No trader has bought the market at the bottom or sold at the top. It is all about individual choices according to the perception of the market. When I started momentum trading, I was curious about how the market behaves before a rally or a fall. However, often, the market does not give a proper signal.

To avoid confusing momentum with the market being complex, an indicator-based strategy giving an edge is the need of the hour.

One such indicator-based strategy is taking trades at the pullback on the **Donchian Channel**.



Richard Donchian

Donchian channel is a technical indicator developed by futures trader Richard Donchian in the mid-20th century. He developed this indicator to identify trends. The Donchian channel consists of three bands, upper, lower, and middle.

